S&P Capital IQ PRO

Grupo Bimbo, S.A.B. de C.V. | ESG Scores Raw Data

BMV:BIMBO A (MI KEY: 4276592; SPCIQ KEY: 877906; TCUID: 53231)

Public

Year: Methodology Year: 2021
Question: Sustainable Agriculture Commitment
Include Modeled Scores : Yes

Sustainable Agriculture Commitment

Question

Does the company have a commitment on sustainable agriculture and is it available publicly?

Rationale

Because of the high pressure that industrialized agriculture puts on ecosystems to provide enough high quality agricultural raw materials, it is important for companies to create comprehensive guidelines and standards in order to preserve and not ruin the resources on which they depend. Through this question, we ascertain what guidelines and standards the company has implemented to promote sustainable agriculture practices.

Performance Summary	
Question Level Company Performance	100
Question Weight	30
Year-on-Year Change	2
Industry Average Score	17
Industry Highest Score	100

The question layout and the company's verified information is provided below. No information is shown if the company did not provide any information or if it opted out of sharing non-public information.

Additional Question Guidance & Information Display

▼ Additional Question Guidance & Information Display

Key Definitions

Soft commodities: Also referred to as agricultural and seafood commodities, soft commodities are grown instead of extracted or mined. Soft commodities include animal products which also include animals farmed or caught in aquaculture and wild fisheries, respectively. Examples include; palm oil, soy, cocoa, coffee, rice, wheat, cotton, tobacco, legumes, fruits, rice, cattle, poultry, cattle, dairy, salmon, tilapia, shrimp, cod, herring, mackerel, etc.

Please note that the list above is not conclusive and that pulp, paper, and timber (PPT) are not considered to be soft commodities.

Suppliers: This refers to the combination of:

- Tier 1 suppliers that directly supply goods, materials or services (including intellectual property (IP) / patents) to the company
- Non tier 1 suppliers that provide their products and services to the supplier at the next level in the chain - i.e. Tier 2 or lower

Suppliers may include brokers, consultants, contractors, distributors, franchisees or licensees, home workers, independent contractors, manufacturers, primary producers, sub-contractors, and wholesalers.

Water consumption: Agriculture is the largest consumer of freshwater which results in, among other issues, the depletion of freshwater resources and reduction of water quality due to unsustainable irrigation practices throughout the world.

Some examples of programs that reduce water consumption may include:

- No-till/conservation agriculture in rainfed areas
- Appropriate water pricing, management, and technology in irrigated areas
- Promotion of agroforestry to increase ecosystem resilience and maintain biodiversity
- Maintenance of livestock mobility in pastoral areas subject to drought

Environmental pollution: Agriculture is the leading source of pollution in many countries. Pesticides, nitrates, phosphates, and other toxic farm chemicals can poison freshwater, marine ecosystems, air, and soil. This pollution has a significant impact on human health and biodiversity. Similarly, aquaculture's release of effluents into water bodies causes eutrophication, and loss of fishing gear has a significant impact on wildlife.

Some examples of programs that reduce environmental pollution may include:

- Production of organic products
- Use of "smart" pesticides,
- Resistant crop varieties
- Ecological methods of pest control (IPM)
- Enclosed production systems (aquaculture)

Soil health: Healthy soils contain a quarter of our planet's biodiversity which interact and contribute to the cycles that make all life possible. Maintaining healthy soils increases our resilience to climate change, by storing carbon, locking in greenhouse gases that would otherwise be released into the atmosphere, and retaining and filtering water which in turn helps to prevent flooding.

However, soils have been exposed to, among others, fertility loss, soil erosion/degradation, which prevented the maintenance of soil physical properties conducive to plant growth and to soil ecosystem functioning.

Some examples of programs that reduce environmental pollution may include:

- Low frequency and intensity of tillage
- Matching the supply of soil nutrients with nutrient demands of crops, fodder, and pasture plants
- Buffer strips on field margins
- Cover crops
- Sourcing of feed ingredients that are certified to be deforestation-free

Destruction of ecosystems: The extent and methods of agriculture, aquaculture, and fishing are the leading causes of the loss of the world's biodiversity. Agricultural expansion is a major driver of deforestation and other ecological destruction, decimating habitats and biodiversity. Oil palm displaces lowland forests in Indonesia while soy production damages the Cerrado and Atlantic Forests of Brazil and Paraguay. Similarly, aquaculture may have significant impacts on ecosystems through clearance of mangroves for the creation of artificial ponds, the spread of parasites and diseases, or the accidental release of fish. Furthermore, the dependence on fishmeal or oil derived from wild-caught fish further amplified pressures on ecosystems. Fishing practices such as bottom trawling or longline fishing are other examples of unsustainable practices.

Some examples of programs that prevent the destruction of ecosystems may include:

- No fishmeal or oil derived from wild-caught fish
- MSC or ASC certifications which ensure sustainable production
- Certifications that ensure deforestation-free production

GHG Emissions: Agriculture is a significant contributor to greenhouse gas (GHG) emissions. It is estimated that the livestock sector alone is responsible for 18% of all anthropogenic GHG emissions but other major emissions sources are irrigated rice farming or associated natural processes (e.g. leaching, etc.)

Some examples of programs that reduce GHG emissions associated with food production may include:

- Development of rice varieties emitting less methane
- Improved management of livestock waste

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- Improvement of crop residue management
- Development of livestock feeds reducing enteric fermentation
- Reduced transport distances through
- Local products offerings in retail

Data Requirements

This question requires supporting evidence from the public domain. The information provided has to be included in your public reporting (e.g. annual report, sustainability report, integrated report, company publications) or corporate website.

Companies in the Food & Drug Retailing Industry that only do drug retailing, should mark this question as "**Not Applicable**" and provide an explanation in the comment box.

Data View

QUESTION LEVEL INPUT	COMPANY ANSWER
Company reports publicly on environmental guidelines or standards for direct and/or indirect procurement (and trade network) of agricultural raw materials	Applicable
Sustainable agriculture commitment required of own production	YES
Sustainable agriculture commitment required of tier-1 suppliers	YES
Sustainable agriculture commitment required of tier 2 suppliers (or lower)	YES
Guidelines and standards for agricultural commodities cover reduced water consumption in agricultural production	YES
Guidelines and standards for agricultural commodities cover environmental pollution	YES
Guidelines and standards for agricultural commodities cover protection of soil fertility	YES
Guidelines and standards for agricultural commodities cover protection of biodiversity	YES
Guidelines and standards for agricultural commodities cover transport distance for agricultural raw material	-
Assessment of other topics covered by guidelines and standards for agricultural commodities	YES
Description of other topics covered by guidelines and standards for agricultural commodities	Agrochemicals

Questionnaire

Please indicate whether your company has a **publicly available** commitment to sustainable agriculture.

The scope of this question includes:
- Production of soft commodities
- Production of ingredients derived from soft commodities
- Production of products containing soft commodities
- Production of products containing ingredients derived from soft commodities

1. (●)

   Yes, we have a commitment to sustainable agriculture

Commitment

Please attach your **publicly available** commitment to sustainable agricultural practices and evidence that this commitment is required of your supply chain and partners:

Scope of commitment

Please indicate the scope of your commitment

1. [x] Requirement of own production
2. [x] Requirement of tier 1 suppliers
3. [x] Requirement of non tier 1 suppliers

Topics

Please indicate which topics are part of your group-wide commitment to sustainable agriculture and provide **publicly available** examples of associated programs you have in place which demonstrate your commitment.

1. [x] Programs to reduce water consumption
2. [x] Programs to reduce environmental pollution
3. [x] Programs to protect soil health
4. [x] Programs to prevent the destruction of ecosystems
5. [ ] Programs to reduce GHG emissions
6. [x]

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Other, please indicate:

Agrochemicals

2. We do not have a commitment to sustainable agriculture

3. Not applicable. Please provide explanations in the comment box below

4. Not known

Confidential additional comments

Use the text field below only in the following cases: (i) to describe significant changes in data or calculation methodology compared to last year's submission, (ii) to explain why a question is not applicable to your company's business model, (iii) to explain if your data deviates from the unit or format requested, or (iv) to provide supporting notes on translations of non-English references.